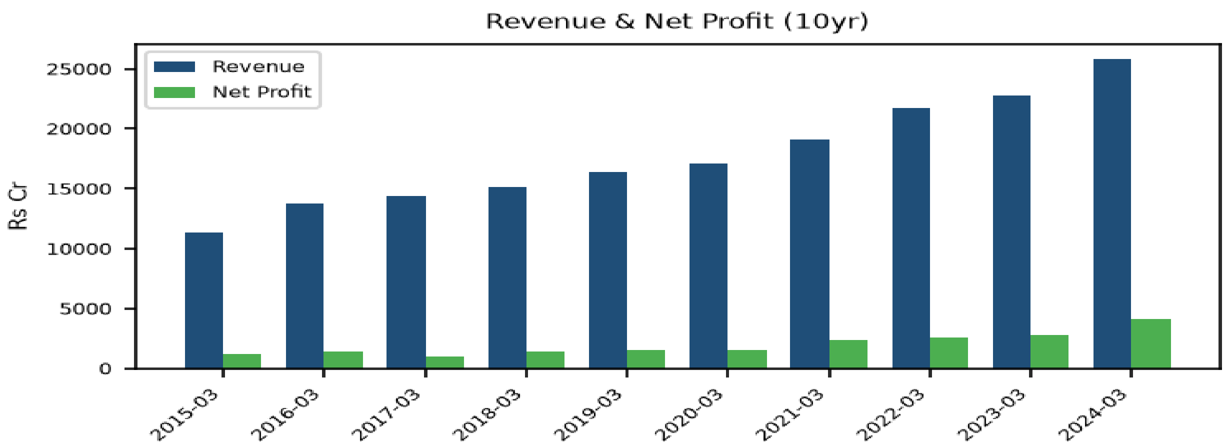
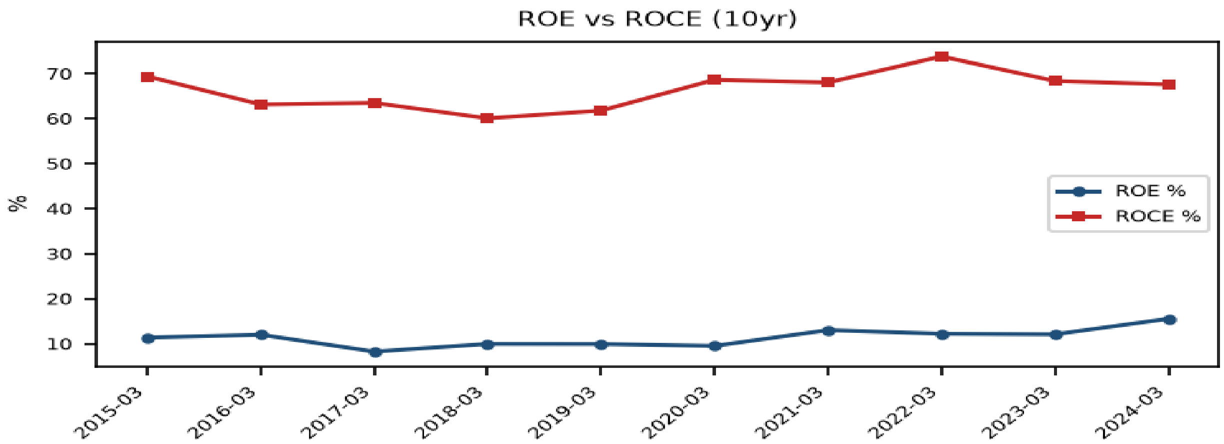
Cipla Ltd (CIPLA)

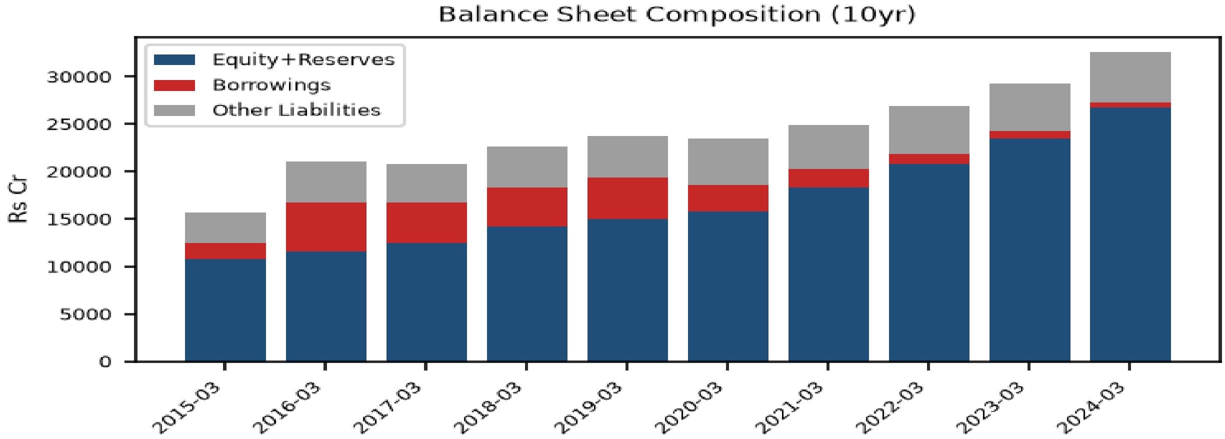
Sector: Healthcare

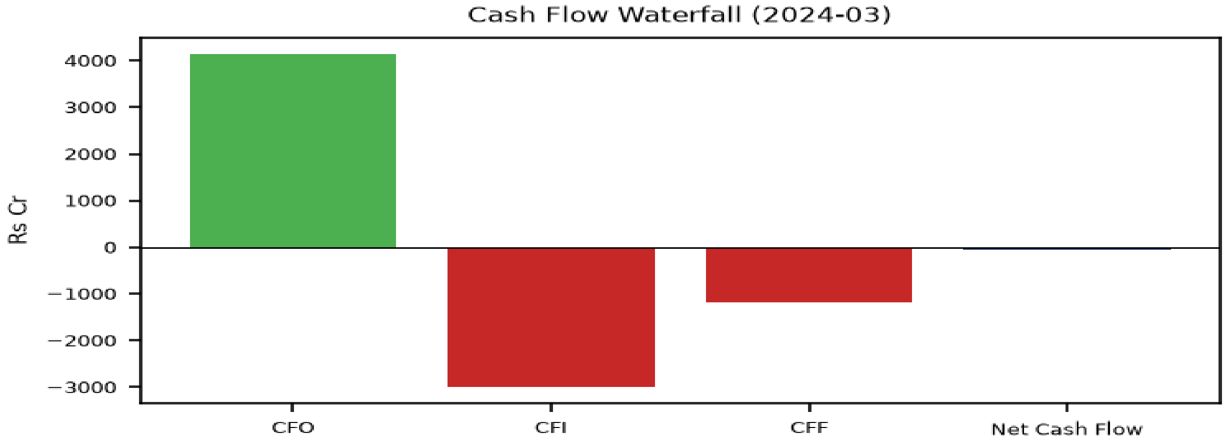
ROE	ROCE	D/E
15.6%	**67.6%**	**0.02x**

OPM	Revenue CAGR 5yr	Free Cash Flow
75.6%	**9.5%**	**Rs 1,152 Cr**









Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Growing asset base funded by internal accruals reflects self-sustaining growth

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure

Capital Allocation: Reinvestor